BITCOIN TAX OVERVIEW FOR MERCHANTS

BITCOIN & YOUR BUSINESS — PLAIN-LANGUAGE TAX OVERVIEW

What a Jersey City business owner needs to know before accepting bitcoin. Written to be understood, not to be precise to the letter.

> **This is educational, not tax advice.** Every business is different — confirm specifics with a CPA. JC Bitcoin is happy to walk your accountant through it.

The one rule everything flows from

The IRS treats bitcoin as *property*, not as currency. That's the whole foundation. It means bitcoin is handled like a small asset (think: a share of stock) rather than like a foreign dollar. (IRS guidance, irs.gov/filing/digital-assets.)

There are up to two taxable moments

1. **When you receive bitcoin for a sale → that's income.** You record revenue equal to the **US-dollar value at the moment of the sale.** A $100 cup-of-coffee sale is $100 of income, full stop — it doesn't matter what bitcoin does afterward. That dollar value also becomes your **cost basis** (your "starting price") for step 2.
2. **If you later sell or spend that bitcoin → that's a second event** (a capital gain or loss). If bitcoin rose between when you received it and when you spent it, the increase is a small gain; if it fell, a loss. *This step only exists if you HOLD the bitcoin.*

The escape hatch: auto-convert

If you auto-convert every sale to US dollars at the register (Square, Strike, and most processors offer this), step 2 basically disappears — you received dollars-worth and immediately have dollars, so there's no price change to track. Your books look **exactly like a card sale.** This is what most merchants do, and it's why "the tax stuff" is far simpler than people fear.

Hold bitcoin instead, and you (or your bookkeeper) track each lot's basis and gain/loss. Tools like Bitwave exist for this, but for most small shops, auto-convert is the answer.

Sales tax still works the normal way

You still **charge and remit New Jersey sales tax in US dollars**, calculated on the US-dollar price of the item — same as a cash or card sale. NJ follows the federal "it's property" treatment. (NJ Technical Advisory TAM-2015-1(R).)

Reporting — what's actually required (2026)

- **You are not a "broker."** The new **1099-DA** form is for custodial crypto *brokers* (exchanges). A business that simply accepts bitcoin for its goods is **not** a broker and doesn't issue 1099-DAs for taking payment.
- **The $10K "Form 8300" crypto rule is suspended.** A 2024 rule would have required reporting crypto receipts over $10,000 like cash; the IRS **suspended** it pending regulations (Announcement 2024-4). Low-dollar retail isn't affected either way.
- **The DeFi "broker" rule was repealed** in April 2025 — not relevant to a normal merchant, but it's why you may see conflicting old advice online.

The myth to ignore

There is **no "small purchases are tax-free" exemption.** You may hear about a "de minimis" rule — as of 2026 it is **not** law. Technically, spending bitcoin (even on coffee) is a disposal. For a merchant who **auto-converts**, this never comes up; for one who **holds and spends**, it's why basis tracking matters. Either way: don't repeat the myth.

Bookkeeping checklist (auto-convert merchant)

- [ ] Record each sale's **US-dollar amount** (your processor reports this — it's your revenue).
- [ ] Remit **NJ sales tax in dollars** as usual.
- [ ] Keep the processor's monthly statements.
- [ ] If you ever choose to **keep** bitcoin, flag it for your CPA — that's when gain/loss tracking begins.
- [ ] Ask your CPA about 1099-DA and your specific situation once a year.

Sources archived in `../sources/`: IRS digital assets page, NJ TAM-2015-1, IRS Announcement 2024-4.
